

ANALYTICS MEMORANDUM

TO: Head of Growth & Head of Seller Operations

FROM: Data Analyst, TradeZone Data Team

DATE: April 23, 2026

RE: TradeZone Performance Review (2023 to 2024)

SUMMARY

TradeZone achieved remarkable revenue growth between 2023 and 2024, with total orders increasing from 398 to 2,144 and Q4 2024 revenue reaching ₦296M. However, 99% of that revenue is generated by a single customer segment, High Spenders.

KEY FINDINGS

Finding 1: Revenue is Dangerously Concentrated in High Spenders

(Source: Q5 — Customer Spend Segmentation) 551 High Spenders (customers spending ₦100,000 and above) generated ₦696,528,181 representing over 99% of total 2024 revenue. Only 40 Medium Spenders and 61 Low Spenders exist on the platform. This means if TradeZone loses even a fraction of its High Spender base through poor experience or competitor attraction, revenue could collapse almost immediately. The platform has no meaningful revenue safety net in its lower spending segments.

Finding 2: Poor Seller Quality is an Active Risk

(Source: Q3 — Seller Fulfilment Efficiency) GadgetKing NG, who is an active seller with 23 completed orders, carries an average customer rating of just 1.85 out of 5. Several other sellers in the top 20 for fulfilment speed also carry ratings below 3.0. Low ratings directly damage platform trust, and since High Spenders dominate revenue, a single bad experience from an underperforming seller could cost TradeZone a disproportionately large amount of revenue.

Finding 3: High Ratings Do Not Drive High Sales

(Source: Q7 — Review Ratings and Sales Performance) Mid Rated products (3.0 to 3.99 average rating) generated ₦1.64 billion in revenue, significantly outperforming High Rated products (4.0 and above) which generated ₦1.07 billion. This suggests that customers on TradeZone are driven more by price, availability and product type than by review ratings. The platform cannot rely on ratings alone as a proxy for product success or customer satisfaction.

RECOMMENDATIONS

1. Launch a High Spender Retention Programme (Traceable to: Q5 Customer Spend Segmentation)

Action: The Growth Team should design and launch a dedicated loyalty programme targeting the 551 High Spenders identified in Q5. This should include personalised product recommendations, early access to new listings and exclusive discounts on Electronics, the category dominating top revenue products per Q2.

Owner: Head of Growth

Expected Outcome: Within 60 to 90 days, TradeZone should see a measurable increase in repeat purchase rate among High Spenders and a reduction in High Spender churn. Even retaining 10% more of this segment could protect hundreds of millions in revenue.

2. Implement a Seller Performance Review Process (Traceable to: Q3 — Seller Fulfilment Efficiency)

Action: The Seller Operations Team should immediately flag all active sellers with an average customer rating below 3.0. GadgetKing NG (rating: 1.85) and AgriMart NG (rating: 2.55) should be placed on a performance improvement plan with clear rating targets. Sellers who do not improve within 60 days should be offboarded from the platform.

Owner: Head of Seller Operations

Expected Outcome: Within 60 to 90 days, the platform average seller rating should improve measurably, reducing the risk of High Spenders having poor experiences that drive them to competitors.

DATA QUALITY NOTES

Issue 1: Inconsistent City Name Formatting

During data exploration, city names were found in multiple formats across both the customers and sellers tables. Lagos alone appeared in at least 6 variations including "lagos", "LAGOS", "Lago s" and "Lagos". Port Harcourt appeared in 5 variations including "PortHarcourt", "PORT HARCOURT" and "Port-Harcourt".

Decision: All city name variations were standardised using TRIM, INITCAP and targeted REPLACE statements. "Lago s" was specifically fixed with a separate UPDATE using a LIKE pattern match.

Risk if Wrong: If any city name was incorrectly merged — for example if "Lago s" referred to a different location entirely — then customer counts and payment analysis in Q1 and Q6 would be slightly overstated for Lagos and understated for the mismerged location. However given the Nigerian context and platform cities listed in the brief, this risk is considered very low.

Issue 2: 124 Orders with Mismatched Total Amounts

124 orders were found where the recorded total_amount in the orders table differed from the actual sum of line items in order_items by more than ₦10. The differences ranged from minor to significant.

Decision: These orders were flagged with an amount_flagged column rather than deleted. They were excluded from all revenue calculations in Q2, Q4, Q5, Q7 and Q8.

Risk if Wrong: If the flagged orders actually contained valid transactions with data entry errors rather than corrupted data, then excluding them means our revenue figures are understated. Given that 124 orders represent roughly 4% of all orders, the impact on overall trends would be modest but could affect individual product or seller rankings in edge cases.

WHAT THE DATA CANNOT TELL US

The Unanswerable Question: Why do High Spenders choose TradeZone over competitors, and what would cause them to leave?

The current dataset tells us HOW MUCH customers spend and WHAT they buy, but it cannot tell us WHY they buy or what their decision-making process looks like. Given that 99% of TradeZone's revenue depends on 551 High Spenders, understanding their motivation and loyalty drivers is arguably the most important unanswered business question.

Additional Data Required: To answer this, TradeZone would need:

- Session logs and browsing behaviour data showing what customers viewed before purchasing
- Cart abandonment data showing what customers considered but did not buy
- Customer satisfaction survey results or Net Promoter Score data
- Competitor pricing data to understand TradeZone's price positioning
- Customer exit data explaining why churned High Spenders left

Without this data, any retention strategy for High Spenders is based on assumption rather than evidence.